Revision Date:
November 1, 2023.

Background:
State regulation requires income in-kind to be evaluated when an item of need for the Assistance Unit (AU) is earned or is voluntarily contributed by a person or an organization.

Purpose:
This section provides instructions on the treatment of income in-kind. The purpose of this revision is to reformat this section to current standards, and to renumber this section from CalWORKs Program Guide (CPG) 44-100.L to 44-100.F. No policy or procedure changes have been made. Section CPG 44-100.L becomes obsolete with the issuance of this revision.

Policy:
Definitions
- Income In-Kind: Any benefit received other than in cash for an item of need.
- Item of Need: Shelter, utilities, food, or clothing.
- Private, Non-profit Organization: Religious, charitable, educational, or other organizations as defined in Section 501(c) of the Internal Revenue Code. Actual tax-exempt certification from the IRS is not necessary.

Evaluation
Income in-kind is to be evaluated when an item of need for the AU is earned or is voluntarily contributed by a person or an organization. Non-need items provided to or earned by the AU are not considered income in-kind and income in-kind cannot be assumed solely because the customer does not pay toward a need item.

- Private, Non-profit Organization: Any income in-kind, whether a full or partial item of need, provided by a private, non-profit organization is considered exempt as income.
  Note: A determination regarding the status of private organizations can be made by contacting the organization. All such contacts must be documented in the case record.
- Full Items of Need: When an AU receives a full item of need for a full calendar month from a source other than a non-profit organization, income in-kind income must be considered.
- Partial Item of Need: Income in-kind for partial items of need is exempt. A partial item of need is a need item provided for less than a calendar month or a need item that is only provided in part.

Note: A full need item provided to only part of the AU is not considered a partial item of need.

Income in-kind values are neither assigned to nor deemed from persons outside of the AU (such as excluded parent, stepparent, or senior parent). When a member of the AU earns a full item of need, the appropriate income disregards are allowed.

Examples:
1) Customer lives with friends who live in military housing. Customer pays $100 to the friend each month until a separate residence can be located.

In-kind income? No.

2) Same situation, but the friend freely provides housing and utilities.
In-kind income? Yes.

3) A pregnant person only (not a minor parent) lives with their parents. The parents will freely provide for their needs.
In-kind income? Yes.

4) Customer maintains apartment house in exchange for housing.
In-kind income? Yes. Earned in-kind, allow appropriate deductions.

5) Customer resides with their three children, the unaided spouse of the customer, and the spouse's unaided child. There are no common children. The entire family lives in housing provided by a relative.
In-kind income? In-kind income would be counted for the four members of the AU who have their full housing needs provided. In-kind is not deemed from family members not in the AU.

6) An AU has a monthly rent expense of $300. They have not been able to make this payment in the last two calendar months.
In-kind income? No. In-kind income cannot be assumed because the AU does not pay toward a need payment.

Value of Need Item

The CalWORKs Assistance Standards Chart is to be used to determine the value of need items received in-kind. Customers who have income in-kind deducted from the grant must be advised of the right to submit evidence of the value of the need items received if they do not agree with the use of the in-kind values.

For in-kind housing and clothing, the value used is the lesser of the chart value or the net market value of the item received. For in-kind utilities and food, the value used is the lesser of the chart value or the actual cost to the person who paid for the item. Acceptable evidence to document the net market value of in-kind items include, but is not limited to:

Item	Acceptable evidence
Housing	Rent receipt, mortgage payment book, or canceled check for rent or house payment.
Clothing	Sworn statement completed by the provider, specifying the dollar value.
Utilities	Utility bills or canceled checks.
Food	Sworn statement completed by the provider, specifying the dollar value.

When a need item is shared with the persons who are not members of the AU or whose needs are not considered in the AU, the in-kind value attributed to the AU is the lesser of the:

- AU's pro rata share of the net market value.
- Cost of the item.
- In-kind income chart value for members of the AU.

Free Board and Lodging During Temporary Absence from Home
Income in-kind is to be considered only to the extent that a temporary absence creates an additional need for the family. When the need at home remains the same there is no income in-kind. When the absence from home is more than one month, income in-kind is to be evaluated when a member of the AU is absent and the absence creates an additional need for the family. The value of free board and lodging received by a member of the AU during a temporary absence of not more than one month is considered exempt.

Military Housing
When a member of the AU is in the military and the family lives in housing provided by the military and the Basic Allowance for Quarters (BEQ or BOQ) is not listed as income on the Leave and Earnings Statement (LES), in-kind housing would be counted for the members of the AU.

Disaster Relief Payments
Disaster Relief payments provided by the Federal Emergency Management Agency (FEMA) and by the Individual and Family Grant Program (IFGP) are not counted as income. When the payment is intended to cover a full item of need, income in-kind would not be counted to the family.

Non-Needy Relatives
Income in-kind will only be considered if the non-needy relative chooses to make a voluntary contribution to the AU. A determination must be made if the non-needy relative wishes to contribute income in-kind to the support of the child(ren) in their care. If they do so, the amount of a contribution reasonably anticipated to be received will be determined in accordance with the income in-kind value chart.

Impacts:
None.

Procedure:
None.

References:
Eligibility Assistance Standards (EAS) 44-115.

Sunset Date:
This policy will be reviewed for continuance by November 30, 2026.

Approval for Release:
11-16-23
Rick Wanne, Director
Self-Sufficiency Services